5-2e Freight

Purchases and sales of merchandise often involve freight. The terms of a sale indicate when ownership (title and control) of the merchandise passes from the seller to the buyer. This point determines whether the buyer or the seller pays the freight costs.

The ownership of the merchandise may pass to the buyer when the seller delivers the merchandise to the freight carrier. In this case, the terms are said to be **FOB (free on board) shipping point** (Freight terms in which the buyer pays the transportation costs from the shipping point to the final destination.) . This term means that the buyer pays the freight costs from the shipping point to the final destination. Such costs are part of the buyer's total cost of purchasing inventory and are added to the cost of the inventory by debiting Inventory.

To illustrate, assume that on June 10, NetSolutions purchased merchandise as follows:

> Note
>
> The buyer bears the freight costs if the shipping terms are FOB shipping point.

June	10.	Purchased merchandise from Magna Data, $1,200 terms FOB shipping point.
	10.	Paid freight of $50 on June 10 purchase from Magna Data.

NetSolutions would record these two transactions as follows:

June	10	Inventory	1,200	
		Accounts Payable—Magna Data		1,200
		Purchased merchandise, terms FOB shipping point.		

Assets	=	Liabilities	+	Stockholders' Equity
Inventory		Accounts Payable		
1,200 |		| 1,200		

June	10	Inventory	50	
		Cash		50
		Paid shipping cost on merchandise purchased.		

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Inventory				
Cr. 50	Dr. 50				

The ownership of the merchandise may pass to the buyer when the buyer receives the merchandise. In this case, the terms are said to be **FOB (free on board) destination** (Freight terms in which the seller pays the transportation costs from the shipping point to the final destination.). This term means that the seller pays the freight costs from the shipping point to the buyer's final destination. When the seller pays the delivery charges, the seller debits Delivery Expense or Freight Out. Delivery Expense is reported on the seller's income statement as a selling expense.

To illustrate, assume that NetSolutions sells merchandise as follows:

Note

The seller bears the freight costs if the shipping terms are FOB destination.

June 15.	Sold merchandise to Kranz Company on account, $700, terms FOB destination. The cost of the goods sold is $480.
15.	NetSolutions pays freight of $40 on the sale of June 15.

NetSolutions records the sale, the cost of the sale, and the freight cost as follows:

June	15	Accounts Receivable—Kranz Company	700	
		Sales		700
		Sold merchandise, terms FOB destination.		

Assets	=	Liabilities	+	Stockholders' Equity
Accounts Receivable				Sales
Dr. 700				Cr. 700

June	15	Cost of Goods Sold	480	
		Inventory		480
		Recorded cost of goods sold to Kranz Company.		

Assets	=	Liabilities	+	Stockholders' Equity
Inventory				Cost of Goods Sold
Cr. 480				Dr. 480

June	15	Delivery Expense	40	
		Cash		40
		Paid shipping cost on merchandise sold.		

Assets	=	Liabilities	+	Stockholders' Equity
Cash				Delivery Expense
| 40				40 |

The seller may prepay the freight, even though the terms are FOB shipping point. The seller will then add the freight to the invoice. The buyer debits Inventory for the total amount of the invoice, including the freight. Any discount terms would not apply to the prepaid freight.

To illustrate, assume that NetSolutions sells merchandise as follows:

June 20.	Sold merchandise to Planter Company on account, $800, terms FOB shipping point, n/30.
	NetSolutions paid freight of $45, which was added to the invoice. The cost of the goods sold is $360.

NetSolutions records the sale, the cost of the sale, and the freight as follows:

June	20	Accounts Receivable—Planter Company	800	
		Sales		800
		Sold merchandise, terms FOB shipping point.		

Assets	=	Liabilities	+	Stockholders' Equity
Accounts Receivable				Sales
800 |				| 800

June	20	Cost of Goods Sold	360	
		Inventory		360
		Recorded cost of goods sold to Planter Company.		

Assets	=	Liabilities	+	Stockholders' Equity
Inventory				Cost of Goods Sold
| 360				360 |

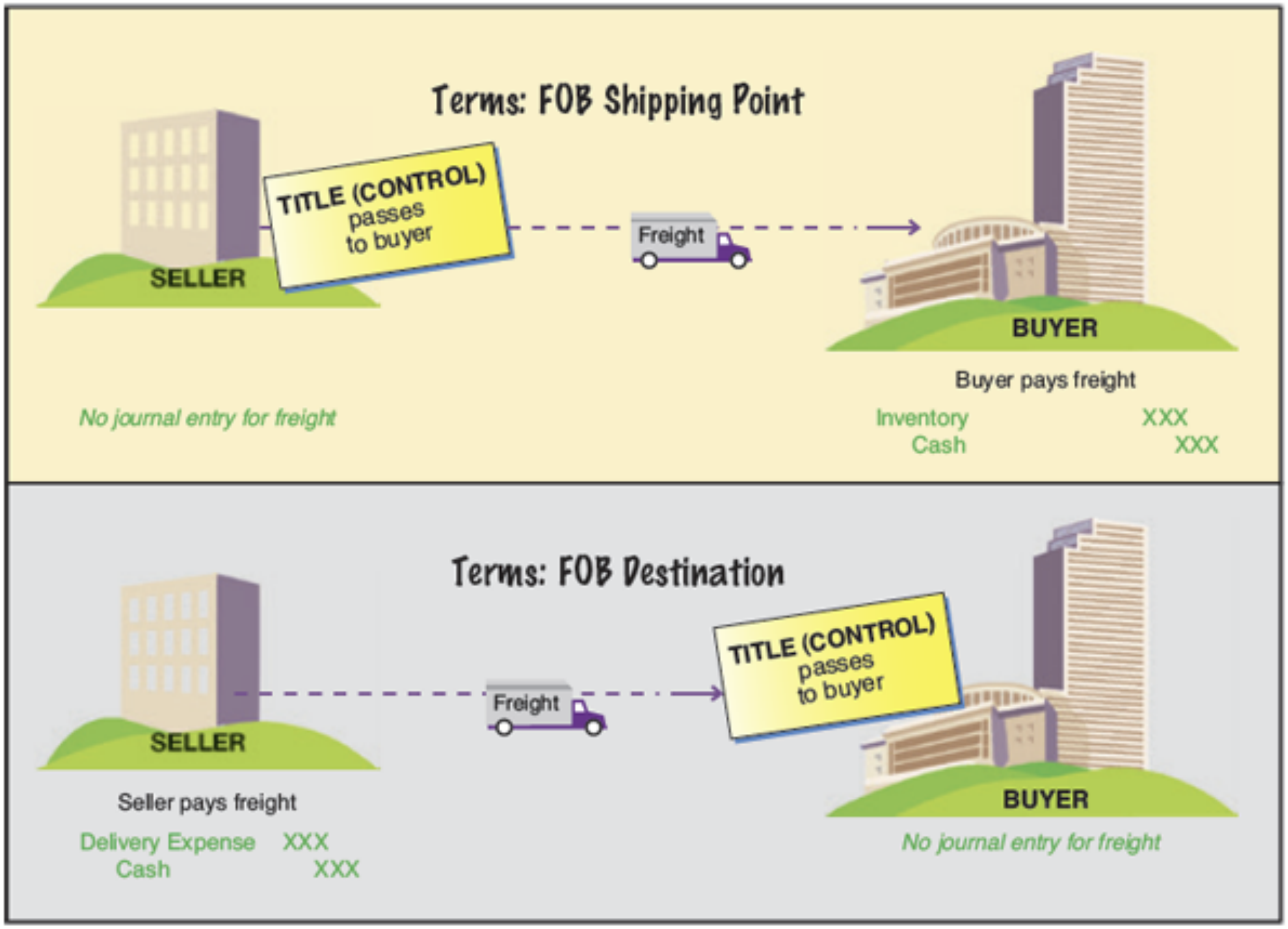
June	20	Accounts Receivable—Planter Company	45	
		Cash		45
		Prepaid shipping cost on merchandise sold.		

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Accounts Receivable				
| 45	45 |				

Shipping terms, the passage of title (control), and whether the buyer or seller is to pay the freight costs are summarized in Exhibit 8.

Exhibit 8

Freight Terms



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